WAVERLEY GATEWAY GUIDE

Connecting International Capital with Emerging & Frontier Markets

URUGUAY

Americas

Information current as of October 2026

Dialogue | Trust | Partnership

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WHERE AND HOW TO ENTER

KEY INVESTMENT LOCATIONS

Location / Region	Strategic Importance	Priority Sectors
Montevideo	Capital and commercial centre; seat of government, the Central Bank and Mercosur's administrative headquarters, and the country's main financial and services hub	Financial services, global business services, ICT, real estate
Port of Montevideo	Principal deep-water gateway on the Río de la Plata, handling pulp, beef and container trade and serving as a regional logistics platform	Port logistics, warehousing, transshipment
Paso de los Toros / central corridor	Site of UPM's second pulp mill, linked to the port of Montevideo by the rebuilt Ferrocarril Central railway	Forestry and pulp, rail logistics, industrial services
Paysandú (western littoral)	Proposed site of HIF Global's e-fuels plant, described as the largest private investment project in Uruguay's history	Green hydrogen, e-fuels, renewable energy
Canelones / Parque de las Ciencias	Free-zone science park near the capital where Google is building a data centre announced at $850 million	Data centres, life sciences, technology
Free zones (e.g. Zonamerica, near Montevideo)	Dedicated zones offering tax and customs benefits and hosting regional headquarters and export-service operations	Global services, software, logistics, shared-service centres
Agricultural interior (north and east)	Core livestock, crop and dairy regions behind record beef exports of $2.7 billion in 2025	Beef, soy, dairy, agritech, irrigation

INVESTOR ENTRY ROUTES

- Uruguay XXI (national investment and export promotion agency) provides market intelligence, sector guidance and an annual guide to promotional regimes for investors
- Investment Promotion and Protection Law (Law 16.906), which treats domestic and foreign investors equally, facilitates profit transfers and underpins tax incentives for approved investment projects
- Free zone regime offering tax and customs benefits for qualifying services, logistics and industrial operations, including technology-focused parks such as Parque de las Ciencias
- Free-floating peso managed by the Banco Central del Uruguay, with no capital controls and a highly liquid, well-capitalised banking system that operates in both pesos and dollars

- Public–private partnership and concession frameworks for infrastructure, used for major projects such as the Ferrocarril Central railway
- Energy-sector entry through partnerships and supply agreements with the state utilities UTE (electricity) and ANCAP (fuels), as in the HIF Global e-fuels project
- Preferential access to the European Union under the EU–Mercosur Interim Trade Agreement, provisionally applied since 1 May 2026

MARKET-ENTRY OBSERVATION

Uruguay in October 2026 offers one of Latin America's most stable and predictable investment environments. The country retains investment-grade ratings, and its sovereign spreads are the lowest in the region and near historical lows, according to the IMF's September 2026 Article IV mission. GDP grew 1.8% in 2025 and the IMF projects 1.3% in 2026 before a pick-up to 2.4% in 2027, with construction (+4.2%), commerce (+2.8%) and pulp-led manufacturing (+1.9%) growing in the second quarter of 2026. Goods exports reached $13.5 billion in 2025, their highest level in a decade, led by record beef sales of $2.7 billion, and the foreign direct investment stock stood at $36.8 billion, around 45% of GDP. Reserves cover more than 11 months of imports, banks hold capital at almost double the regulatory minimum, and the EU–Mercosur Interim Trade Agreement, provisionally applied since 1 May 2026, opens tariff-preferential access to a market of more than 750 million people.

Uruguay's main structural challenge is lifting trend growth, which has averaged 1.2% since 2016, while managing the exposure of its agriculture to weather. A drought since the third quarter of 2025 cut agricultural output by 22.2% year-on-year in the second quarter of 2026, mainly through a smaller soybean harvest, leaving GDP 0.5% lower than a year earlier. The wider economy has absorbed the shock well: construction, services and pulp production continued to grow, and the government is advancing an irrigation agenda that the IMF says could expand farm output and climate resilience. Policy settings remain credible: inflation was 4.68% in September 2026, within the 3–6% tolerance band, and the Central Bank raised its policy rate by 25 basis points to 6% on 8 October to anchor expectations. A fiscal correction mechanism decreed in June 2026, the planned global minimum tax and a draft Competitiveness Law to cut red tape and ease trade together point to a reform path that creates opportunities in irrigation, agritech, water infrastructure and higher-value services.

INVESTOR RISK & MARKET ACCESS

KEY ENTRY BARRIERS

Issue	Potential Impact	Possible Mitigation
Weather exposure in agriculture	Drought since mid-2025 reduced agricultural output by 22.2% year-on-year in Q2 2026 and weighed on overall growth	Diversified exports and growing non-farm sectors cushion the impact; irrigation, water-management and agritech investment is a growing opportunity
Moderate trend growth	Growth has averaged 1.2% since 2016, and the IMF projects 1.3% for 2026 before 2.4% in 2027	A draft Competitiveness Law aims to cut red tape, ease trade and attract investment; EU–Mercosur access adds a new growth driver
Fiscal deficit	The central government and social security deficit is projected at 4.1% of GDP in 2026, with the primary balance set to improve to near balance by 2029	Investment-grade ratings, low regional spreads and a new fiscal correction mechanism support financing stability and policy credibility
Inflation and interest rates	Inflation of 4.68% in September 2026 is slightly above the 4.5% target, prompting a rate rise to 6% in October	Inflation remains within the 3–6% band and the Central Bank projects a return to target within two years; plan peso financing costs accordingly
Dollarisation of the financial system	Widespread use of dollars creates currency mismatches for some borrowers, although corporates are largely hedged and dollar liquidity is ample	Match revenue and debt currencies and use the deep local market for peso and dollar hedging
Small domestic market	Uruguay's home market is modest in size, so most large projects are export-oriented	Use Uruguay as a stable regional base with free zones, Mercosur membership and EU–Mercosur preferential access
Shifts in regional demand	Goods exports to Brazil fell 15% in 2025, reflecting regional demand cycles	Exports are diversified across China (26%), the EU and the US, where sales

Issue	Potential Impact	Possible Mitigation
		grew close to 30% in 2025

INVESTOR RISK NOTE

Uruguay's risk profile is among the most favourable in Latin America, built on strong institutions, investment-grade ratings, the region's lowest sovereign spreads, reserves covering more than 11 months of imports and a well-capitalised banking system. The main near-term considerations are the effect of drought on agricultural output, a fiscal deficit projected at 4.1% of GDP in 2026 and inflation slightly above the 4.5% target. Each is being actively addressed: the economy outside agriculture continues to grow, a fiscal correction mechanism and tax-administration measures are being implemented, and the Central Bank's October 2026 rate rise demonstrates a clear commitment to price stability. The IMF identifies strong agricultural revenues, EU–Mercosur opportunities and reform implementation as upside risks. Investors in agriculture should build weather scenarios into planning, and those with peso exposure should apply standard currency management, while investors across the wider economy can rely on Uruguay's long record of policy continuity and contract enforcement.

MARKET ACCESS

Uruguay is a founding member of Mercosur, alongside Argentina, Brazil and Paraguay, and hosts the bloc's headquarters in Montevideo, and has been a WTO member since its creation in 1995. The EU–Mercosur Interim Trade Agreement, signed on 17 January 2026, ratified by Uruguay on 26 February and provisionally applied since 1 May 2026, provides access to a market of more than 750 million people, with tariffs eliminated on around 75% of trade from the outset, rising to 92% of the tariff universe within ten years. China is the leading export market, taking $3.5 billion or 26% of goods exports in 2025, followed by Brazil, the EU and the US. Uruguay is also pursuing accession to the Comprehensive and Progressive Agreement for Trans-Pacific Partnership (CPTPP). Exports move principally through the port of Montevideo, linked to the interior by the Ferrocarril Central, giving Uruguay a strong position as a stable gateway between South America, Europe and Asia.

WHO SHOULD THE INVESTOR MEET?

INSTITUTIONAL LANDSCAPE

Actor	Why It Matters	Waverley Engagement Angle
Office of the President (Yamandú Orsi)	Sets the government's economic and social agenda, including competitiveness, irrigation and trade-opening priorities	Primary reference point for Uruguay's strategic direction and major project approvals
Uruguay XXI	National investment and export promotion agency; principal facilitation body for foreign investors	Standard first point of contact for market entry, incentives and sector intelligence
Banco Central del Uruguay (President Guillermo Tolosa)	Monetary authority and financial regulator; sets the policy rate and supervises a well-capitalised banking system	Relevant for currency, banking and financial-services licensing matters
Ministry of Economy and Finance (Gabriel Oddone)	Leads fiscal policy, the fiscal correction mechanism, tax reform and the investment promotion regime	Key counterpart for tax incentives and the macroeconomic outlook
Ministry of Industry, Energy and Mining (MIEM)	Oversees industrial, energy and technology policy, including green hydrogen and data-centre projects	Essential for energy-transition, industrial and technology investments
UTE and ANCAP (state energy companies)	State electricity utility and state fuels company; central counterparts for power supply and energy-sector projects	Key partners for renewable energy, e-fuels and energy-intensive investments
Ministry of Foreign Affairs	Leads trade negotiations, including implementation of the EU–Mercosur agreement and CPTPP accession	Relevant for market-access strategy and bilateral partnership opportunities

CURRENT INTERNATIONAL BUSINESS CHANNELS

Uruguay XXI runs investor promotion programmes and international roadshows, including presentations in London positioning Uruguay as a gateway to Latin America, and supports bilateral business chambers such as the recently launched Uruguay–Brazil Chamber. The Chamber of Industries of Uruguay and the National Chamber of Commerce and Services are the principal domestic business associations, and the Uruguay–United States Chamber of Commerce is active among international firms. Major foreign investors, including UPM in pulp and the operators in the free zones, are a useful source of practical intelligence on logistics, labour and regulation. The Inter-American Development Bank, the World Bank and CAF – Development Bank of Latin America and the Caribbean maintain active programmes in infrastructure, energy transition and private-sector development.

INVESTOR PROFILE BEST SUITED

Uruguay suits investors who value stability, rule of law and long-term predictability: global business services, software and fintech firms using the free-zone regime and Montevideo's skilled workforce; data-centre and technology investors drawn by a largely renewable power system; forestry, pulp and agri-food investors building on record beef exports and EU–Mercosur access; energy-transition investors in green hydrogen and e-fuels; and infrastructure and logistics investors in ports, rail and water. Agricultural investors should factor weather variability into project economics and will find growing opportunities in irrigation and climate-resilient production.

FROM INTELLIGENCE TO ENGAGEMENT

STEP 1: Engage Uruguay XXI and review the promotional regimes
Open dialogue with the national promotion agency to identify applicable incentives under the investment promotion regime and its current guide to promotional regimes.

STEP 2: Assess free-zone structuring for services, logistics and technology
Compare the tax and customs benefits of the main free zones for regional headquarters, export-service and data-centre operations.

STEP 3: Position exports to benefit from EU–Mercosur access
Map tariff phase-down schedules and quotas under the Interim Trade Agreement for agri-food, industrial and services exports to Europe.

STEP 4: Build weather and currency scenarios into planning
Model drought scenarios for agricultural exposure and match the currency of revenues and financing, drawing on Uruguay's deep peso and dollar markets.

STEP 5: Explore energy-transition and infrastructure partnerships
Engage MIEM, UTE and ANCAP on renewable power, green hydrogen and e-fuels, and follow public–private partnership opportunities in irrigation, water and logistics.